savings. Certainly, the seemingly perverse pattern of net capital flows, from poor to rich countries, will have to change, if for no other reason than to accommodate demographics.

I now want to turn to the increasing institutionalization of, and competition within, advanced financial markets. The link between the issues will soon be clear. The break-up of oligopolistic banking systems and the rise of financial markets has expanded individual financial investment choices tremendously. While individuals don't deposit a significant portion of their savings directly in banks any more, they don't invest directly in the market either. They invest indirectly via mutual funds, insurance companies, pension funds, venture capital funds, hedge funds, and other forms of private equity. The managers of these financial institutions, whom I shall call 'investment managers,' have largely displaced banks and 'reintermediated' themselves between individuals and markets.

As competition between these various institutional forms for the public's investment dollar increases, each one attempts to assure the public that they will offer superior performance. But what does superior performance mean?

PERFORMANCE MANAGEMENT

The typical manager of financial assets generates returns based on the systematic risk he takes – the so-called beta risk – and the value his abilities contribute to the investment process – his so-called alpha. Shareholders in any asset management firm are unlikely to pay the manager much for returns from beta risk – for example, if the shareholder wants exposure to large traded U.S. stocks, she can get the returns associated with that risk simply by investing in the Vanguard S&P 500 index fund, for which she pays a fraction of a per cent in fees. What the shareholder will really pay for is if the manager beats the S&P 500 index regularly, that is, generates excess returns